

BOARD MEETING OF THE CBA
MINUTES
(03.05.2022)

On the Refinancing Rate

The CBA Board Meeting of May 3, 2022 attended by Governor M. Galstyan, Deputy Governor H. Khachatryan, Board Members A. Stepanyan, H. Ghahramanyan, D. Nahapetyan, A. Manukyan, L. Sahakyan

The Board meeting opened with presentation of the Situation Report as of May 3. It addressed the developments on inflation, external environment and real, fiscal, financial and monetary sectors of the economy. The main issues discussed were still the potential effects of the Russian-Ukrainian military-political conflict and various sanctions on the Russian economy on the economies and financial markets of the Armenia's main partner countries and Armenia.

As noted, in March 2022 1.8% inflation was recorded, as opposed to 1.0% inflation in the same month of the previous year. During the month, prices of all major product groups have grown. Prices for food products grew by 2.2%; for non-food products and services by 1.0% and 1.7%, respectively. The growth of prices was particularly high in "Fruits" and "Vegetables" sub-groups totaling 5.4 and "Housing Services" and "Recreation and Culture" subgroups totaling 3.1% and 2.6%, respectively. **As a result, 12-month inflation grew, reaching 7.4% at the end of the month. The 12-month core inflation grew as well, totaling 7.0%.**

Current developments in the foreign sector were presented. First, it was noted that as a result of the Russian-Ukrainian military-political conflict, the new sanctions imposed on the Russian economy and the resulting high uncertainty, economic growth in Armenia's main partner countries is slowing down faster than expected. At the same time, because of the conflict, problems in the production, supply and payment and settlement chains have led to a significant expansion of the inflationary environment in international commodity markets and in partner countries. At the same time, severe restrictions imposed in China to prevent the spread of the new wave of the pandemic excavate disruption of global value chains and delay their recovery, triggering additional inflationary pressures. Hence, the Central Banks of the partner countries continue to pursue a policy of tightening monetary conditions. The US Federal Reserve and the ECB have been outlining scenarios for a rapid tightening of policy, and the Russian Central Bank, after the previous sharp increase in interest rates, has been gradually lowering them, keeping the restraining stance.

The Board reviewed developments of the domestic economy and noted that in the first quarter of 2022, trends of higher-than-expected growth of economic activity were observed. The large influx of foreign visitors ensuing from the Russian-Ukrainian conflict and various sanctions imposed on Russia led to a significant growth of the service sector and the expansion of overall demand. The latter contributed to some extent to the growth of domestic demand, due to rising wages in the private sector. At the same time, the growth of demand on domestic services by international visitors (external demand), as well as the large inflow of remittances contributes to the recovery of the country's external balance and appreciation of the Armenian dram in foreign exchange market. Notably, despite the large inflow of money transfers, private remittances have dropped significantly, as was expected. Furthermore, the assessment of fiscal policy in 2022, as outlined in the monetary policy program for 2022 Q1, shows that its impact on domestic demand is still constraining.

The Board reviewed developments in financial market of the Republic of Armenia and noted that under normal liquidity conditions, short-term market interest rates were formed around

policy rate of the Central Bank. At the same time, the Board considered that after the sharp increase in March 2022 amid regional uncertainty, in April, Armenia's sovereign risk premium plummeted in line with the CBA scenario. This was also reflected in the dynamics of the Armenian dram exchange rate in foreign exchange market.

After discussion of the impact on inflationary environment and the resulting inflationary expectations, the Board considered that significant expansion of the inflationary environment in March-April was mainly due to the impact on domestic prices transferred through a number of imported goods caused by the Russian-Ukrainian military-political conflict and global value chain disruptions. Inflation is partly contributed by the positive developments in the overall demand for services. It was also noted that the expansion of inflationary environment and the persistent uncertainties were reflected in the dynamics of public inflation expectations. On the other hand, it is projected that the appreciation of dram will have a mitigating impact on the domestic inflationary environment and inflation expectations.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to discussing monetary policy directions and deciding on the policy rate. The forecasting team presented to the Board the prospects of the forthcoming macroeconomic developments amid the existing environment and the scenario of further tightening of monetary policy. Given that the current inflation are mostly factored by global inflation and supply trends, and that, in parallel, some downward trends in inflation are anticipated resulting from the expected persistence of exchange rate appreciation, the vast majority of board members considered that after the recent tightening of monetary conditions by a relatively large step, some break is needed, in order to more accurately assess the extent and effectiveness of the tightening. At the same time, some members of the Board believed that inflationary factors were still prevalent and that the monetary policy should be consistently tightened and policy rate should be raised. **Ultimately, the CBA Board decided by a majority of voices to keep the refinancing rate unchanged.** At the same time, the Board emphasized the importance of consistent policy in order to mitigate any risk of de-anchoring inflation expectations through taking the adequate action in the future. According to the projections, the 12-month inflation would gradually decrease and in the forecast horizon would approach the target of 4%.

The CBA Board considers that as a result of geopolitical developments the high uncertainty related to the macroeconomic perspective remains. At the same time, the risks of inflation deviation from the projected trajectory are mainly balanced. Should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

Setting Interest Rate

CODE
050.0070 L. 03.05.22

May 3, 2022, No 70 L

SETTING INTEREST RATES OF THE REPUBLIC OF ARMENIA CENTRAL BANK MONETARY POLICY INSTRUMENTS AND PRESS RELEASE ON REFINANCING RATE

By virtue of Article 2(3), Article 20 "c" and "e" of the Republic of Armenia law "On the Central Bank", and provisions of the Republic of Armenia law "On Normative Legal Acts", the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 9.25%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 10.75%.
3. Set the interest rate of the instrument of attracting funds by the Central Bank of the Republic of Armenia at 7.75%.
4. Approve the press release on refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
Republic of Armenia

May 3, 2022
Yerevan

PRESS RELEASE
03.05.2022

At May 3, 2022 meeting, the CBA Board decided to leave the refinancing rate unchanged, setting it at 9.25%.

In March 2022, 12-month inflation grew to 7.4%. 12-month core inflation grew as well, totaling 7.0%.

The Russian-Ukrainian military-political conflict continues, and the uncertainties related to it remain. This has a negative impact on the economic and financial market developments in the main partner countries of Armenia. The slower-than-expected slowdown in economic growth in partner countries is accompanied by an expansion of the inflationary environment. The latter is the result of value chain disruptions and accelerated inflation in international commodity markets. Thus, inflationary impact on the Armenian economy from the external sector will persist.

In the first quarter of 2022, developments in the economic activity of the Republic of Armenia were more positive than expected. The significant influx of international visitors is reflected in the high growth of the service sector and the expansion of aggregate demand. It contributes to the improvement of the Republic of Armenia external balance and appreciation of Armenian dram in foreign exchange market. It is estimated that the latter will also have a positive impact on weakening the domestic inflationary environment and lowering inflation expectations.

In view of the above, the Board judges appropriate to leave the refinancing rate still unchanged. The CBA Board is committed to take adequate measures to neutralize any possible risk of deanchoring of inflation expectations. It is projected that the 12-month inflation will gradually decline and will approach the target of 4% in the medium term.

The CBA Board considers that as a result of geopolitical developments the high uncertainty related to the macroeconomic perspective remains. At the same time, the risks of inflation deviation from the projected trajectory are mainly balanced. Should the risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

Detailed information on the interest rate decision will be available in Press Release to be published by May 18, 2022 (Minutes on Interest Rate).

In case of using the Press release, the reference to the source is mandatory.

CBA Public Relations Service

Tel/Fax: (374-10) 56 37 61

E-mail: mcba@cba.am

www.cba.am